

The complaint

Mr A complains that China Taiping (UK) Insurance Co Limited has turned down a storm damage claim he made on his buildings insurance policy.

What happened

In June 2019, following heavy rain, Mr A suffered roof damage to his flat roof. Water had also got into the house and caused internal damage. So Mr A made a claim on his buildings insurance policy.

China Taiping appointed a loss adjuster to investigate the cause of the damage. The adjuster's report noted there were rain storm conditions around the time of the claim. They found that the roof damage was down to wear and tear. And they found the internal damage was down to a one-off ingress of water.

Based on the adjuster's report, China Taiping turned down the claim. It said that wear and tear and lack of maintenance were specifically excluded by the policy terms. And it said that if the roof had been properly maintained, water wouldn't have been able to get in and cause internal damage. It suggested that Mr A make a separate accidental damage claim with another insurer.

Mr A was unhappy with China Taiping's decision and asked us to look into his complaint. In the meantime, he arranged for both the external and internal damage to be repaired.

Our investigator thought Mr A's complaint should be partly upheld. She thought it was most likely the external damage was down to wear and tear. So she thought it was fair for China Taiping to turn down these costs. But she thought the loss adjuster's evidence suggested the internal damage was down to the storm rains. So she felt China Taiping should pay for the costs of putting right the internal damage.

Neither Mr A nor China Taiping agreed. Mr A said his roofing specialist felt the roof was in a reasonable state of repair and the damage to it was down to the heavy rainfall. China Taiping maintained that if the roof had been in a good state of repair and had been watertight, the rain wouldn't have been able to get in. It said the internal damage wasn't down to storm, it was because the roof was in a poor state of repair. The complaint's been passed to me to decide.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Having done so, I don't think China Taiping has treated Mr A fairly, so I'm partly upholding his complaint. I'll explain why.

When we look at complaints about storm damage, there are three questions that we need to ask:

- Were there storm conditions on or around the date of the claim?

- Is the damage consistent with storm damage?
- Were the storm conditions the main cause of the damage?

If the answer to any of these questions is “no” then the claim won’t succeed.

Were there storm conditions on or around the date of the claim?

China Taiping was satisfied that there were rain storm conditions around the date of Mr A’s claim. I’ve also checked the local weather reports and I can see that there was rainfall of 34mm in a 24-hour period. I think this rainfall was sufficiently intense to be considered as a wet storm. The maximum wind speed during that week though was only 36 mph. So I don’t think the wind speeds were strong enough to constitute storm.

Is the damage consistent with storm damage?

I’ve thought about this carefully. I’m satisfied that internal damage can be consistent with wet storm conditions. But I don’t think the roof damage is likely to be consistent with wet storm. I say that because it’s clear there weren’t storm wind conditions, which might’ve been able to dislodge the tiles or cause roof damage. It seems unlikely that rain alone could cause external damage to a roof. As I’m satisfied the internal damage was consistent with storm though, I’ve gone on to consider question three.

Was the storm the main cause of the damage?

The external roof damage

China Taiping’s loss adjuster had the chance to inspect the flat roof. They felt the main cause of the damage wasn’t down to the storm rains, but because of maintenance issues. China Taiping reviewed the photos the adjuster had taken and noticed vegetation growing in parts of the roof, which it felt had likely caused cracks to it.

I find the loss adjuster’s opinion persuasive. It’s the only expert opinion I have to consider, and Mr A hasn’t sent me anything to counter the loss adjuster’s findings. He said he wasn’t able to find the report, or the roofer who completed it. It’s also unlikely, in the absence of storm winds to dislodge slates or tiles, that a well-maintained roof would let in rainwater.

So it seems most likely the main cause of the external damage was due to wear and tear over time. This simply isn’t covered by the terms of Mr A’s policy. So I think it was fair for China Taiping to turn down the claim for the external damage.

The internal damage

China Taiping states that this damage also shouldn’t be covered because it said if the roof had been water-tight, rain couldn’t have got in and caused damage. I’ve thought carefully about this. I’ve carefully considered the loss adjuster’s findings. They said:

‘We are satisfied the internal damage has been caused by a single ingress of rainwater.’

They continued to say:

‘However, in the absence of extended Accidental Damage cover, Insurers may consider accepting liability for the internal damage under the Storm peril, given there was torrential rain recorded by the Met Office on the afternoon in question, which caused localised flooding.’

It seems to me, based on this evidence, that the internal damage was caused by the wet storm. There isn't any suggestion that water had been getting in over time. It seems that it was the direct result of the intense rainfall and that the storm was the main cause of the damage. The loss adjuster also suggested that China Taiping's liability could be engaged under the storm section of the policy.

While the rain may not have got in if the roof had been in a good state of repair, I'm persuaded the wet storm was the main cause of the internal damage. So I'm satisfied China Taiping needs to deal with the internal damage claim. Mr A has confirmed that he hasn't claimed on any other policy for this damage.

My final decision

I direct China Taiping (UK) Insurance Co Limited to settle Mr A's claim for the internal repairs he's had completed, in line with the remaining terms and conditions of the policy. Mr A will need to provide China Taiping with an invoice for the repairs.

I also direct China Taiping to add interest to the settlement at an annual rate of 8% simple from the date Mr A paid his contractor until the date of settlement.

*If China Taiping considers that it's required by HM Revenue & Customs to deduct income tax from that interest, it should tell Mr A how much it's taken off. It should also give Mr A a certificate showing this if he asks for one, so he can reclaim the tax from HM Revenue & Customs if appropriate.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr A to accept or reject my decision before 14 August 2020.

Lisa Barham
Ombudsman